with many emerging markets, has been willing to invest a large portion of its trade and current account surplus in very low-yield assets of U.S. Treasury bills, but is today attempting to diversify. Moreover, China's leadership, particularly since the ascension of President Xi Jinping in November 2012, is now hopeful that RMB internationalization will secure China both political and economic advantages within its geographic region, while new financial institutions and programs—the BRICS institutions, the AIIB, and the One Belt, One Road (OBOR) initiative—offer more lucrative, yet still stable, investment options for China's large foreign exchange reserves.

Now that the BRICS have incentives and capabilities to possibly influence global financial governance, how have they gone about implementing their preferred strategy together? Turning to the BRICS' financial statecraft, defined as the conscious strategy, by incumbent political leaders, of national financial and monetary capabilities for larger foreign policy goals, Chapter 3 extends the framework to encompass *collective* financial statecraft, wielded by a group (or club) in the form of a fourfold typology. This includes inside reforms aimed at existing institutions; inside reforms intended to alter, shape, or resist the political benefits distributed among state actors in existing global capitalist markets; outside reforms through which a club of challenger-states seeks to construct alternative multilateral institutions; and outside reforms in which an international club of states attempts to shift the operations of markets themselves.

The first case illustrates the inside option of BRICS collaboration to obtain greater voice within the World Bank and IMF, by cooperating on supporting a common candidate (which was not a success) and in applying joint pressure for larger quotas. The BRICS, at their summit in Goa, India, in October 2016, have reiterated their call for a reallocation of two executive directorships at the IMF away from Western Europe and toward emerging economies, as well as for continued work on a new quota formula in the ongoing review process.[60] A second case concerns defensive financial statecraft within global markets: as the United States, Western Europe, and other countries imposed costly banking and other financial sanctions on Russia in response to its intervention in Ukraine, all the BRICS have clearly and unequivocally refused to participate. These two cases constitute inside options, as collaboration among the BRICS did not attempt to forge new institutional nor market realities.

The third case chronicles the BRICS' pursuit of an outside option to found, and fund, two new multilateral institutions controlled by themselves: the